

Inventory/Sales Module Legal Notice (v3.32 / v3.33)

Nature of this document: Compliance reminder only, **NOT legal advice**. This document applies cumulatively with all §6 disclaimers from v3.25.10 → v3.33.

中文版: [INVENTORY_SALES_LEGAL_NOTICE_ZH.md](#)

1. Quotation Legal Nature

1.1 Contractual Status

Quotations generated by this system are **invitations to treat**, **NOT offers** themselves. Customer acceptance **does NOT automatically form a contract** — your company's confirmation is still required.

Practical recommendations:

- Sales supervisor reviews amounts/terms/payment before sending
- Even after customer "accepts," obtain **written confirmation** (signed quotation or PI) before converting to SO
- Once `valid_until` passes, re-quote rather than reuse

1.2 Quotation Variation Risk

- `clone_quotation`: copies an old quote as new version, but **prices/quantities/terms may have changed**; sales should review
- `update_quotation_status`: marking "accepted" **does NOT equal** customer's written confirmation
- `cancel_quotation`: **irreversible** — must create new quote to replace

1.3 Antitrust / Fair Trade Compliance

Differential pricing across customers may involve:

- Taiwan Fair Trade Act §22 (reasonable grounds for differential pricing)
- US Sherman Act §1 / Robinson-Patman Act
- EU Competition Law Art. 102

`explore_pricing_curve_tool` 's what-if results **do NOT constitute legal advice on pricing strategy**; consult legal counsel before deployment.

2. Sales Order Legal Nature

2.1 SO Contract Force

SO creation is a **delivery commitment to customer**. Hard-write tools affecting this:

- `create_sales_order_with_confirm` — commitment formed
- `update_sales_order_item / delivery` — contract amendment (customer written consent recommended)
- `add / remove sales_order_item` — adding/removing items (same as above)
- `cancel_sales_order` — terminates contract, may trigger penalty

2.2 ship_sales_order Risk

Shipping triggers:

- Inventory deduction (affects cost accounting)
- AR booking (affects financial statements)
- Customer delivery commitment (affects service level)

ConfirmCard is the **legal confirmation point**: users must review specific slot values before clicking confirm.

3. Purchase Order Legal Nature

3.1 PO Contract Force

PO becomes a **contract with supplier** once approved/sent:

- `cancel_purchase_order` — may incur supplier penalty (if production already started)
- `update_purchase_order_item` — quantity/price change requires supplier consent
- `update_purchase_order_delivery` — date change requires supplier notification
- `add / remove purchase_order_item` — only in draft status (avoiding contract amendment disputes)

3.2 Receiving Goods Compliance

- `receive_purchase_order` triggers AP booking
 - Quantity/quality acceptance is **warehouse staff's authority** — AI does not replace
 - Shortages/damages should follow supplier contract (Ouvoca does NOT auto-deduct)
-

4. StockCount Legal Nature

4.1 Count as Audit Basis

Count adjustments affect:

- **Cost accounting** (overage → income, shortage → cost)
- **Tax filings** (inventory variation = operating cost)
- **Internal control compliance** (SOX / ISO 9001 / GMP require periodic counts + supervisor review)

4.2 Count Responsibility Division

This system's design:

- Warehouse staff: execute count + key in actuals
- Supervisor: review variances + apply adjustments
- CPA: adjust books based on count results

Ouvoca's ConfirmCard does NOT replace CPA review. For external financial reports, follow applicable accounting standards + CPA review.

4.3 Variance Reason Classification

`variance_reason` categorization is **for internal analysis only**, does NOT constitute:

- Findings of employee fault (damaged/lost ≠ negligence)
- Accusations of supplier quality (count_error may come from any link)
- Evidence for insurance claims (requires separate professional assessment)

5. Reorder Suggestion Legal Nature

5.1 Advisory Nature

`reorder_suggestion_tool` and `smart_reorder_with_lead_time_tool` outputs are **algorithm suggestions only**, NOT:

- Automatic PO to supplier (must use `create_purchase_order_with_confirm`)
- Price/delivery commitments
- Future demand forecasts (use `demand_forecasting_tool`)

5.2 Algorithm Limitations

- `smart_reorder` 's `daily_burn` estimation is **conservative**; may underestimate without sales history
- `lead_time` is configured value, **does NOT reflect** supplier's actual recent performance
- `safety_stock` is fixed value, **does NOT adjust dynamically** with service level changes

Major procurement (e.g., annual bulk materials) must be reviewed by procurement supervisor + finance.

6. LLM Interaction Risk

6.1 Slot Extraction Errors

When user says "change PO-001 to 200 units," LLM may:

- Extract wrong PO number (e.g., PO-002)
- Extract wrong quantity (e.g., treat "200" as "2000")
- Extract wrong part (if PO has multiple lines)

ConfirmCard is the defense line: users must review slot values before confirming.

6.2 LLM Rendering Inaccuracy

Read tools' **summary** is LLM-translated, may:

- Over-simplify (e.g., "5 damaged + 5 lost" stated as "10 short")
- Fabricate business reasons (hallucination)

Recommendation: review **raw** structured data for critical decisions.

7. Disclaimer Clause

To the maximum extent permitted by applicable law, Ouvoca assumes **no liability** for:

1. Contractual / financial / tax consequences from LLM slot extraction errors causing wrong PO/SO/StockCount
 2. Wrong business judgments from LLM translation inaccuracy
 3. Over-purchase / line stoppage from reorder suggestions (incl. smart_reorder)
 4. Financial misstatement / tax filing issues from count adjustments
 5. Customer disputes from quotation errors / changes
 6. Supplier/customer contract breach from PO/SO modifications
 7. Contractual / labor / competition law disputes by third parties (customers, suppliers, sales staff, warehouse staff) acting on this system
-

8. Cumulative Applicability of Predecessor Disclaimers

This version overlays v3.25.10 → v3.32. All §6 disclaimers in predecessor design docs apply cumulatively:

Predecessor	Key cumulative point
v3.25.10 §6	MRP is planning advisory, not PO; deterministic assumption
v3.26 §6	CLSP NP-hard heuristic not optimal; capacity input accuracy responsibility
v3.27 §6	Provenance ≠ legal causation; TOC heuristic; OAT doesn't catch interactions
v3.28 §6	TA ≠ GAAP/IFRS; antitrust warning; DBR empirical
v3.29 §6	Forecast not guarantee; unforeseen events; LLM business hallucination
v3.30 §6	LLM slot extraction risk; translation hallucination; RBAC × LLM
v3.31 §6	hard-write 5 customer responsibility points; ConfirmCard = legal confirmation
v3.32 §6	Quotation→SO irreversible; count affects cost; contract dispute warnings

9. Cultural Reminder: LLM Does NOT Replace Professionals

Ouvoca's promise: "natural language replaces training", NOT "natural language replaces professional judgment."

AI Can	Professional Judgment Still Required
Quickly create/modify/query records	Major financial decisions
Integrate multi-source data into plain language	Legal / tax / antitrust compliance
Calculate / sort / suggest	Customer relationship maintenance
24/7 availability	Ethics / cultural judgment

Final decisions should rest with:

- Sales / Procurement / Warehouse / Plant Manager — per their expertise
- Supervisor / Finance / Legal — per their authority
- Owner — per their role

Together.

Last updated: 2026-05-21 (v3.33) **Version:** 1.0 **Chinese:** [INVENTORY_SALES_LEGAL_NOTICE_ZH.md](#)